

CHAPTER 24.

Finance Act, 1945.

ARRANGEMENT OF SECTIONS.

Section.

1. Hops, etc., and beer.
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An Act to grant certain duties, to alter other duties, and to amend the law relating to the Public Revenue and the National Debt. [15th June 1945.]

Most Gracious Sovereign,

WE, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the several duties herein-after mentioned ; and do therefore most humbly beseech Your Majesty that it may be enacted, and be it enacted by the King's Most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows :—

1.—(1) The duties charged by virtue of subsection (1) of Hops, etc., section one of the Finance Act, 1941, until the end of the and beer. fifteenth day of August, nineteen hundred and forty-five, ^{4 & 5 Geo. 6.} _{c. 30.} namely—

- (a) the duties of customs charged on hops and extracts, essences or other similar preparations made from hops under subsection (1) of section seven of the Finance Act, 1925 ; and 15 & 16 Geo. 5.
c. 36.
- (b) the duty of customs charged on hop oil under the proviso to subsection (1) of section four of the Finance 19 & 20 Geo. 5.
c. 21. Act, 1929 ; and

23 & 24 Geo. 5.
c. 19. (c) the additional duty of customs charged in respect of beer under subsection (2) of section two of the Finance Act, 1933 ;

shall continue to be charged until the end of the fifteenth day of August, nineteen hundred and forty-nine.

(2) The drawback allowed by virtue of subsection (2) of section one of the Finance Act, 1941, until the end of the fifteenth day of November, nineteen hundred and forty-five, namely, the additional excise drawback allowed in respect of beer under subsection (4) of section two of the Finance Act, 1933, shall continue to be allowed until the end of the fifteenth day of November, nineteen hundred and forty-nine.

Purchase tax : 2.—(1) In an order made under section twenty of the Finance Act, 1940, the definition of the class of goods in respect of which the order is to have effect may be limited by reference to the use of any mark the use of which the Board of Trade have power to regulate, notwithstanding that the effect of the order as respects any particular goods may be thereby rendered dependent on the operation of any provision made by the Board in exercise of that power.
definition of chargeable goods by reference to use of Board of Trade marks.
3 & 4 Geo. 6.
c. 48.
5 & 6 Geo. 6.
c. 21.

(2) Section nineteen of the Finance Act, 1942, is hereby repealed.

Income tax for 1945-46. 3.—(1) Income tax for the year 1945-46 shall be charged at the standard rate of ten shillings in the pound, and, in the case of an individual whose total income exceeds one thousand five hundred pounds, at such higher rates in respect of the excess over one thousand five hundred pounds as Parliament may hereafter determine.

7 & 8 Geo. 6.
c. 23. (2) Subject to the provisions of section twenty-six of the Finance Act, 1944, and of any Act of the present Session amending the law relating to income tax, all such enactments as had effect with respect to the income tax charged for the year 1944-45, other than such enactments as by their terms relate only to tax for that year, shall have effect with respect to the income tax charged for the year 1945-46.

Higher rates of income tax for 1944-45. 4. Income tax for the year 1944-45 shall be charged at rates exceeding the standard rate in the case of individuals whose total incomes exceed two thousand pounds and in respect of the excess of their total incomes over that sum ; and the said rates shall be rates in the pound which respectively exceed the standard rate for the year 1944-45 by the amounts specified in the second column of the Table in subsection (1) of section seven of the Finance (No. 2) Act, 1940.

5.—(1) Subject to the provisions of this section, if, in relation to any chargeable accounting period beginning at or after the end of March, nineteen hundred and forty-five, the standard profits of a trade or business, as computed apart from this section, are less than twelve thousand pounds, those standard profits shall be increased, in relation to that chargeable accounting period, by a sum equal to one-tenth of the difference between the amount of those standard profits and twelve thousand pounds:

Increase of
standard
profits
in certain
cases for
purposes of
excess profits
tax.

Provided that, in relation to a chargeable accounting period which is less than twelve months, references in this subsection to twelve thousand pounds shall be construed as references to a sum which bears the same proportion to twelve thousand pounds as the length of the period bears to twelve months.

(2) Subsection (1) of this section shall not apply to any member of a group of companies other than the principal company, and, in the case of the principal company of a group of companies, any increase in standard profits under that subsection shall be computed as if for the references therein to the standard profits of the trade or business there were substituted references to the said standard profits (computed as therein mentioned) plus—

- (a) the standard profits (so computed as aforesaid) of the trades or businesses of all subsidiary members of the group for chargeable accounting periods co-terminous with, or falling wholly within, the chargeable accounting period of the trade or business of the principal company; and
- (b) where a chargeable accounting period of the trade or business of a subsidiary member of the group falls partly within the chargeable accounting period of the trade or business of the principal company, so much of the standard profits (so computed as aforesaid) of the trade or business of that subsidiary member for the said chargeable accounting period thereof as is apportionable to the part of that period which falls within the chargeable accounting period of the trade or business of the principal company.

Any apportionment required to be made by paragraph (b) of this subsection shall be made by comparing the number of months or fractions of months in the chargeable accounting period of the trade or business of the subsidiary member with the number of months or fractions of months in the part of that chargeable accounting period which falls within the chargeable accounting period of the trade or business of the principal company.

Expressions used in this subsection have the same meanings as they have in the Fifth Schedule to the Finance Act, 1940 (which relates to groups of companies).

2 & 3 Geo. 6.
c. 109.

(3) Where a deficiency of profits occurring in a chargeable accounting period beginning at or after the end of March, nineteen hundred and forty-five, is greater than it would have been if this section had not been passed, the amount of the increase shall not be available (whether under section fifteen of the Finance (No. 2) Act, 1939, or paragraph 6 of Part IV of the Fifth Schedule to the Finance Act, 1940) to reduce profits for any chargeable accounting period ending at or before that date; but where by virtue of this subsection the whole of a deficiency occurring in a chargeable accounting period cannot be applied in reducing profits for previous chargeable accounting periods, the amount which cannot be applied shall, for the purposes of paragraph (b) of subsection (2) of the said section fifteen, be treated as part of the balance which, under that paragraph, is to be applied in reducing profits in subsequent chargeable accounting periods.

(4) The following provisions shall have effect in relation to chargeable accounting periods falling partly before and partly after the end of March, nineteen hundred and forty-five—

- (a) the standard profits for the whole period shall be computed, first on the basis that the preceding provisions of this section do not apply to such periods as aforesaid and secondly as if the said preceding provisions applied to such periods as aforesaid as they apply to periods beginning at or after the said end of March, and it shall then be ascertained, on each basis, whether there are excess profits or a deficiency of profits for the whole period, and if so what is the amount thereof;
- (b) there shall be deemed to be for the first part of the period, excess profits or a deficiency of profits, as the case may be, equal to an apportioned part of the excess profits or deficiency of profits ascertained under paragraph (a) of this subsection on the first basis mentioned therein, and there shall be deemed to be, for the second part of the period, excess profits or a deficiency of profits, as the case may be, equal to an apportioned part of the excess profits or deficiency of profits ascertained under paragraph (a) of this subsection on the second basis mentioned therein;
- (c) for the purposes of this section, the first part of the whole period and the second part of the whole period shall each be treated as if it were a separate chargeable accounting period.

Any apportionment required to be made by paragraph (b) of this subsection shall be made by reference to the number of months or fractions of months in each of the parts of the whole period.

In this subsection, references to the whole period, the first part of the period, and the second part of the period, shall be construed respectively as references to the whole of the chargeable accounting period falling partly before and partly after the said end of March, so much thereof as falls before the said end of March, and so much thereof as falls after the said end of March, and the expression "excess profits" means the amount by which the profits for any period exceed the standard profits therefor.

(5) This section shall be construed as one with Part III of the Finance (No. 2) Act, 1939.

6.—(1) The permanent annual charge for the National Debt for the financial year ending with the thirty-first day of March, nineteen hundred and forty-six, shall be the sum of four hundred and sixty-five million pounds instead of the sum of three hundred and fifty-five million pounds. Provisions as to permanent annual charge for the National Debt.

(2) The Treasury may at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act, 1939, for providing any sums required during the said financial year for the purposes mentioned in paragraph (a) or paragraph (b) of subsection (4) of section twenty-three of the Finance Act, 1928, and the amount required by the said subsection (4) to be issued from the permanent annual charge for the National Debt for the purposes aforesaid in that year shall be decreased by the amount raised under this subsection. 2 & 3 Geo. 6. c. 117. 18 & 19 Geo. 5. c. 17.

(3) Any securities created and issued to raise money under the last preceding subsection shall be deemed for all purposes to have been created and issued under the National Loans Act, 1939.

7.—(1) This Act may be cited as the Finance Act, 1945.

Short title and construction.

(2) Any reference in this Act to any other enactment shall, unless the context otherwise requires, be construed as a reference to that enactment as amended by any subsequent enactment, including this Act.

